

The complaint

Mr L complains that Starling Bank Limited won't reimburse him after he sent funds towards an investment that he now considers to have been a scam.

What happened

The circumstances of this complaint have been set out in detail by our investigator, so I won't repeat them in full here. But briefly, both parties accept that Mr L was introduced by a friend to an investment opportunity with a firm I'll refer to as 'C' and met with a sales representative of C at an event. The representative claimed to offer an investment in social housing, whereby investors would purchase housing units which would be refurbished and then sub-let by C, with investors receiving a portion of the payments made by the social housing providers.

Mr L has explained that in June and August 2024, he made investment payments to C from other banking accounts. In October 2024, Mr L made a further payment of £21,500 from his Starling account to C, on the understanding that he was investing in one housing unit. The sales representative had explained that there would be a 90-day grace period for returns to be provided, and that after this, Mr L would receive £2,150 each quarter for 20 quarters.

However, before Mr L's first repayment was due from the investment via Starling, C announced it was having issues with its banking and couldn't currently make payments. Since then a Police investigation into C has been launched and no returns have been received by Mr L.

Believing he'd fallen victim to a scam, Mr L raised a claim with his bank, Starling. Starling said it couldn't currently provide an answer to his claim, due to its complexity. Mr L remained unhappy and referred his complaint to our service.

An investigator considered the complaint and upheld it. She was persuaded that there was enough evidence available to conclude that Mr L's payment was made as the result of a scam and that Starling was liable to refund his losses under the Faster Payments Scheme (FPS) and the CHAPS Reimbursement Rules (which I'll refer to as the 'Reimbursement Rules'), less a £100 excess.

Starling didn't agree with the Investigator's view. It said that when making the payment, Mr L didn't select the most accurate payment purpose and that, given he was entering a high-risk, unregulated investment, he ought to have conducted a higher level of due diligence.

As Starling disagreed with the Investigator's view, the complaint has been referred to me for a final decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I've decided to uphold it. I'm persuaded Mr L was scammed, and that Starling ought reasonably to have reached this conclusion when he reported the matter directly – without waiting on the outcome of the police investigation into C. I therefore agree with the Investigator that Starling should reimburse Mr L's losses (less £100). I'll explain why.

At the time of Mr L's payments, The Reimbursement Rules were in effect. These require Payment Service Providers (PSPs) such as Starling to reimburse APP scam victims in most circumstances. Where the rules apply, PSPs are expected to give a reimbursement decision within five "business days" – the definition of which excludes weekends and UK bank holidays - of a scam claim being made. In some instances, this can be extended to a maximum of 35 business days.

The reimbursement rules define an APP scam as:

"Where a person uses a fraudulent or dishonest act or course of conduct to manipulate, deceive or persuade a consumer into transferring funds from the consumer's relevant account to a relevant account not controlled by the consumer, where:

- The recipient is not who the consumer intended to pay, or*
- The payment is not for the purpose the consumer intended"*

I consider it clear Mr L intended to pay C for a property development investment. So, to determine if the disputed payments meet the definition of a scam, I've gone on to consider whether C's intended purpose was broadly aligned with Mr L's the time – and, if not, whether this was the result of a dishonest deception by C.

For the following reasons, I'm persuaded C fraudulently deceived Mr L into making his payment:

- C held accounts which show around £6,000,000 being spent in a way that appears consistent with property development. But it also received around £20,200,000 from investors. Given C's standard unit price of £13,500, that means it would need to have entered around 1,500 property agreements. But the outgoing payments aren't consistent with C paying for rent, refurbishments and furnishings for this many agreements.
- C claimed to have held contracts with several local authorities, but its beneficiary statements show no incoming payments from them, or from housing providers. Several authorities C claimed to have contracts with have also confirmed they had no working relationship with C – and one has also confirmed that an invoice C used to demonstrate its relationship with the authority was forged. Additionally, one 'director' of C was removed from Companies House due to that individual having had no connection to C and their identity stolen, which also indicates dishonest deception by C.
- Our service has seen from around 100 complaints against C that in at least 6 cases, the same unit was sold to multiple investors. Additionally, the addresses of the buildings in question were ones where the owners have confirmed no relationship with C. We've seen further cases of properties remaining derelict after the investment, despite claims that they were generating an income.
- Having reviewed C's accounts, around a third of the investment capital wasn't used for the purpose of securing and developing properties to be used for social housing –

ranging from cash withdrawals, to payments to individuals involved in operating C, to paying jewellers, restaurants and more. There are further substantial withdrawals and payments for which the purpose is unknown.

- Around £440,000 C received could be legitimate income, although none of this came from local authorities or social housing providers. But in comparison £2,500,000 was paid to investors. It's clear this didn't come from genuine income – strongly indicating C was operating a Ponzi scheme.

Overall, there is little to suggest any transactions are consistent with C completing property development for the benefit of investors, and much more to suggest C wasn't using investors' funds for the intended purpose. Even if any of the funds C received were used for property development, it seems likely this was done with the intention of inducing further individuals to invest as part of an overall scam.

Overall, I'm persuaded Starling should have concluded that Mr L had been scammed, and gone on to consider his claim, within the maximum timeframe set by the rules. I've therefore considered whether Starling should have agreed to reimburse these payments under the remaining provisions of the rules.

The Consumer Standard of Caution Exception

Under the rules, I'd expect Starling to refund Mr L unless it showed an exception applied under the "Consumer Standard of Caution". That would involve showing that, as a result of gross negligence, Mr L failed to meet one of the following standards:

- The consumer should have regard to any intervention made by their PSP and/or by a competent national authority.
- The consumer should, upon learning or suspecting that they have fallen victim to an APP scam, report the scam claim promptly to their PSP.
- The consumer should respond to any reasonable and proportionate requests for information made by their PSP for a limited number of purposes (principally to validate the scam claim and whether it is reimbursable).
- The consumer should, after making a scam claim, consent to the PSP reporting to the police on the consumer's behalf or request they directly report the details of a scam to a competent national authority

Starling hasn't explicitly stated that it is relying on one of these exceptions. Nor do I think any could fairly be applied here.

However, for completeness, as Starling's response to the Investigator's assessment largely focused on Mr L not correctly answering questions about the payment purpose or completing adequate due diligence, I've thought about whether Mr L failed to have regard to Starling's interventions.

The Payment Systems Regulator's Consumer Standard of Caution Exception Guidance ("the Guidance") provides guidance to supplement the Reimbursement Rules. It gives a more detailed and specific description of the intervention standard:

"Consumers should have regard to specific, directed interventions made either by their sending PSP, or by a competent national authority. That intervention must offer a clear assessment of the probability that an intended payment is an APP scam payment."

That description is expanded on in paragraphs 1.8 – 1.10 of the Guidance:

“PSPs can expect their consumers to have regard to specific, directed interventions raised either by their sending PSP, or by a competent national authority. Those interventions must clearly convey the PSP’s, or competent national authority’s, assessment of the probability that an intended payment is an APP scam payment. Only in circumstances where the PSP can demonstrate that a consumer who has not been classed as vulnerable has, as a result of gross negligence, not had regard to such interventions can a reimbursement claim be refused.

It will be up to payment firms to consider the approach they might take in creating tailored, specific interventions and to develop their own operational approaches and identify best practice.

Any intervention for the purpose of this exception should be bespoke. They must be consumer, scam, and transaction specific. They should not consist of ‘boilerplate’ written warnings. Providers should not refuse reimbursement claims on the basis that a consumer received vague, non-specific written warnings, or warnings that routinely accompany most or all transactions of a similar type. Where a PSP does choose to intervene with a written warning, this must be actively brought to the attention of the consumer. PSPs should not rely upon the availability of passive warnings, such as on public websites.”

Did Mr L fail to have regard to the interventions with gross negligence?

The Guidance says “We interpret ‘gross negligence’ to be a higher standard than the standard of negligence under common law. The consumer needs to have shown a ‘significant degree of carelessness.’”

The Guidance explains (at 1.13) that:

“...any assessment of the degree of negligence should include consideration of all relevant factors, including:

- the specificity and nature of the intervention made by their sending PSP*
- the degree of certainty any intervention, whether written or otherwise, conveys that a prospective transaction is an APP scam*
- the complexity of the scam to which the consumer has become victim, including whether the victim has been subject to any degree of social engineering, or was otherwise in thrall of a scammer*
- any claims history from the consumer suggesting a propensity to fall repeatedly for similar types of scams”*

I’ve considered all of the above factors in deciding whether Consumer moved past the intervention(s) with gross negligence.

I’m aware that Starling asked Mr L the payment purpose and he selected ‘paying a bill, event, taxes or for a service’, despite ‘investment’ being an available option and that he was therefore shown a warning of this nature. Mr L has explained he did this by accident, as he didn’t consider the categories clearly reflected the nature of the transaction. As a result, I don’t think the warning Starling provided alerted Mr L to anything that may have caused him to suspect that C was a scam.

I don't think the answer Mr L provided to Starling's payment questions suggests that he was trying to conceal the payment purpose or acting with disregard to an obvious risk. I think he simply selected an answer that wasn't the closest aligned out of the available options. I also don't think the payment purpose he did select was entirely out of keeping with the payment he was making. I say that because while this was an investment, it was also an agreement linked to the purchase and rental of a property – so to class this as paying for a service doesn't seem entirely out of sync with that Mr L was doing. And I'm conscious that the intervention was relatively light touch and easy to bypass – it didn't give a strong indication that the payment Mr L was making was connected to a scam.

I'm also aware that Mr L had already made several payments to C by the time he made this further payment via Starling, knew of others who had also invested and had no reason to doubt the legitimacy given his prior experience. The fact that debate continues to exist about the legitimacy of C also points to its sophistication and the unlikelihood that a reasonable person would suspect a scam at this point in time. That means he had compelling reasons to believe that C was a legitimate enterprise at the point that he moved past the intervention.

Overall, Starling hasn't demonstrated that Mr L has, as a result of gross negligence, failed to comply with the Consumer Standard of Caution. I'm therefore persuaded Starling should reimburse him in line with the FPS Reimbursement Rules.

Please note that Starling is entitled to apply a deduction (known as "the excess") of up to £100 per claim, unless the victim was a vulnerable consumer at the time of making at least one of the payments they are claiming for and their vulnerability affected their ability to protect themselves from the scam. I've not seen anything to suggest that was the case here, meaning Starling can deduct £100 from the refund of Mr L's payments.

As I'm not awarding a full refund (due to the excess), I've considered if there are any reasons why Starling should hold further liability – such as if it should have prevented the full loss. But given the complexity of the scam, even if Starling had intervened further, I don't think the scam was apparent enough at the time of the payments that Starling could have identified and prevented it. And due to the time between Mr L making the payment and reporting the scam, I don't think Starling could have successfully recovered his funds either. So I don't think it holds further liability beyond the FPS Reimbursement Rules.

Putting things right

To put things right, Starling should refund Mr L for the payment he sent C, less the excess of £100.

Starling should pay 8% simple interest per year on top of this amount, running from 35 business days (as defined by the FPS Reimbursement Rules) from when Mr L reported the scam to the date of settlement. This is to compensate him for the loss of use of these funds.

If Starling considers that it's required by HM Revenue & Customs to deduct income tax from that interest, it should tell Mr L how much it's taken off. It should also give him a tax deduction certificate if he asks for one, so he can reclaim the tax from HM Revenue & Customs if appropriate.

In order to avoid the risk of double recovery, Starling is entitled to take (if it wishes) an assignment of the rights to all future distributions in relation to the scam payment we're upholding that arise, such as from the police investigation and criminal proceedings, before paying the award.

My final decision

My final decision is that I uphold Mr L's complaint against Starling Bank Limited.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr L to accept or reject my decision before 15 July 2026.

Kirsty Upton
Ombudsman